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June 16, 2008

To: Members of the Executive Board

From: The Secretary

Subject: **Ghana—Staff Report for the 2008 Article IV Consultation**

Attached for consideration by the Executive Directors is the staff report for the 2008 Article IV consultation with Ghana, which is tentatively scheduled for discussion on **Monday, June 30, 2008**. At the time of circulation of this paper to the Board, the Secretary's Department has not received a communication from the authorities of Ghana indicating whether or not they consent to the Fund's publication of this paper; such communication may be received after the authorities have had an opportunity to read the paper.

Questions may be referred to Ms. Nagy (ext. 36966), Mr. Mills (ext. 37629), and Mr. Hartley (ext. 35361) in AFR.

Unless the Documents Section (ext. 36760) is otherwise notified, the document will be transmitted, in accordance with the procedures approved by the Executive Board and with the appropriate deletions, to the WTO Secretariat on Tuesday, June 24, 2008; and to the African Development Bank, the European Commission, and the Organisation for Economic Cooperation and Development, following its consideration by the Executive Board.

This document, together with a supplement providing an informational annex, will shortly be posted on the extranet, a secure website for Executive Directors and member country authorities. The supplement, which is not being distributed in hard copy, will also be available in the Institutional Repository; a link can be found in the daily list (<http://www-int.imf.org/depts/sec/services/eb/dailydocumentsfull.htm>) for the issuance date shown above.

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INTERNATIONAL MONETARY FUND

GHANA

Staff Report for the 2008 Article IV Consultation

Prepared by the Staff Representatives for the 2008 Consultation with Ghana

(In consultation with Other Departments)

Approved by Sharmini Coorey and Adnan Mazarei

June 16, 2008

Discussions: The mission took place in Accra, March 23–April 8, 2008. The staff team comprised Ms. Nagy (head), Mr. Mills, Mr. Hartley, Mr. Alichí (all AFR), Mr. Laxton (RES), Mr. Espejo (PDR), Mr. Bouhga-Hagbe (FAD), and Mr. McIntyre, Resident Representative in Accra. The mission met with Minister of Finance Baah-Wiredu, State Minister Osei, Governor of the Bank of Ghana Acquah, other senior officials, representatives of development partners, business, and trade unions. Mr. Kwakye, Advisor to the Executive Director for Ghana, participated in the policy discussions. The mission worked closely with World Bank staff.

Political setting. Legislative and presidential elections will take place in December 2008.

Fund relations. Policy dialogue between the authorities and staff has remained active since Ghana's completion of its Poverty Reducing Growth Facility (PRGF) arrangement in October 2006, but discussions on a Policy Support Instrument (PSI) have not advanced.

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EXECUTIVE SUMMARY

Ghana's growth has remained strong, fuelled by both the private and public sectors.

The private sector has responded positively to macroeconomic stability and structural reforms. But fiscal spending has also increased, reflecting investment to address growth bottlenecks, as well as policy slippages. As a result, the economy is experiencing demand pressures that are causing macroeconomic imbalances and increasing risks to external stability; high twin fiscal and external account deficits have emerged and inflation has risen. GDP growth is set to remain strong at 6½ percent in 2008; inflation is projected to reach 14½ percent by year-end; and international reserves are likely to decline to about 2 months of imports.

Reducing excess demand pressures requires urgent policy adjustments. Postponing them would pose risks to Ghana's macroeconomic and external stability, threatening to undo much of Ghana's remarkable achievements in these areas. In staff's view, the current policy mix may not reduce prevailing vulnerabilities sufficiently.

The authorities and staff agree that fiscal policy needs to carry the brunt of the adjustment. The government has announced its intention to deal with the main weaknesses—high utility subsidies and the rising wage bill; however, implementation has been slow. Staff projects that even with these measures the fiscal deficit will rise to over 10 percent of GDP in 2008 and 2009. Additional fiscal measures are needed; the automatic price adjustments for utilities should be reinstated and coverage extended to all users, while protecting the poor by better-targeted subsidies.

The Bank of Ghana (BoG) has increased its policy rate by a cumulative 350 basis points in response to inflationary pressures and indicated that is ready to raise rates further if needed. Staff noted that, to bring down inflation, the monetary tightening that began in November 2007 should continue. Yet the central bank alone cannot fight inflation, and the effectiveness of monetary policy is being increasingly undermined by loose fiscal policies.

A joint Fund-Bank external debt sustainability assessment indicates that Ghana's risks of external debt distress, although still moderate, have increased. Total public debt would rise from 50 percent of GDP in 2007 to about 80 percent of GDP in 2028, implying serious risks to debt sustainability. The authorities agreed that debt sustainability was important but considered that prospects of oil revenue would improve the debt outlook.

Authorities and staff agreed that financial deepening was desirable, but very rapid credit growth to the private sector in recent years raises concerns. The BoG has raised banks' minimum capital requirement and adopted several elements of the more risk-sensitive regulatory framework of Basel II; staff indicated that additional macro prudential measures were needed. Further interest rate increases should also moderate credit expansion.

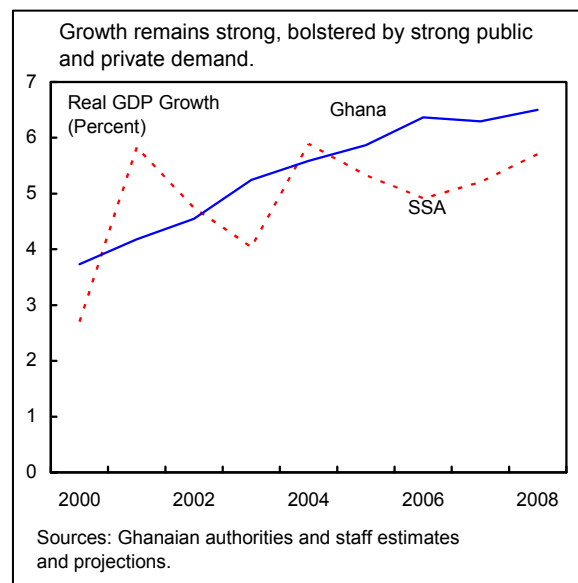
There was also agreement that, if confirmed, the recent oil discovery could accelerate Ghana's timetable for reaching middle-income status and the millennium development goals, provided it avoids the "oil curse" of weak governance and boom-bust cycles.

Ghana's track record on transparency bodes well for governance. The authorities' plans for an appropriate oil management regime should therefore focus on demand management that reflects the country's absorptive capacity and does not crowd out the private sector.

I. THE ECONOMIC SETTING

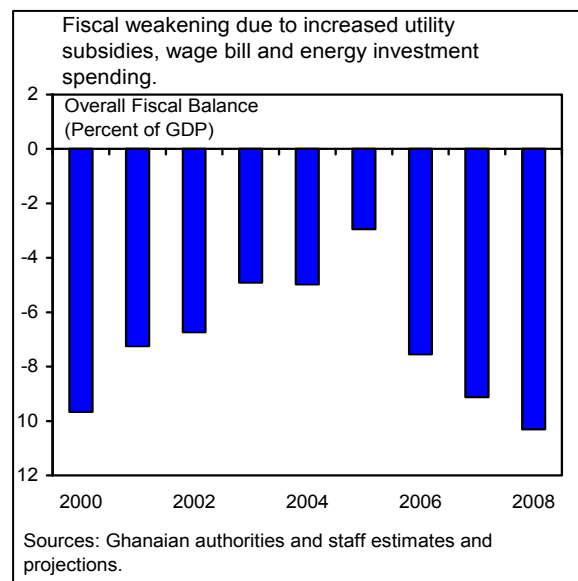
1. **Growth remained strong in 2007 and in the first months of 2008, but macroeconomic balances have weakened and external vulnerabilities have increased.**

Buoyant private sector demand and fiscal expansion have led to a high external current account deficit, pressure on international reserves, and a pickup in inflation. Risks of debt distress are rising: total debt reached 50 percent of GDP at the end of 2007. International commodity price shocks have had a negative impact on inflation, but less so on the external accounts, as Ghana's terms of trade have improved for several years. Moreover, domestic food supplies have been generally good, and Ghana is a (small) net exporter of food. Nevertheless, regional disparities in food supplies and prices are a concern: flood damage in the north has led to localized food shortages and sharp price increases.



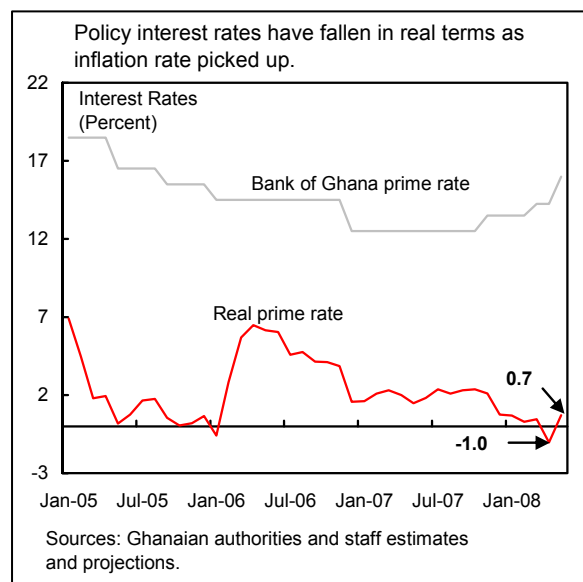
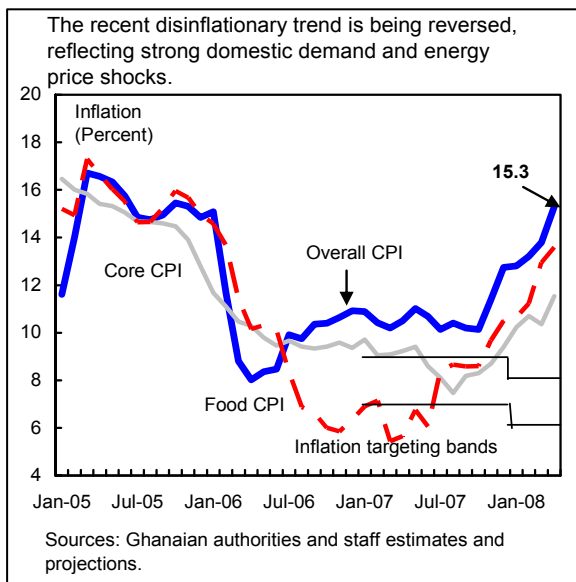
2. **The rise in the fiscal deficit to 9 percent of GDP in 2007 reflected both urgent investment needs and policy slippages with regard to utility pricing and the wage bill.**

Necessary emergency investments to address energy supply bottlenecks amounted to 2½ percent of GDP. But the authorities also repeatedly delayed passing on the increase in oil prices to utility consumers, and eventual price increases in May and November 2007, though significant, were not sufficient to bring prices to cost recovery levels as world oil prices continued to rise. The wage bill was higher than budgeted because of hiring outside the centralized budget process and higher than budgeted wage growth. Revenue performance continued to be strong however, except from gold.



3. **Headline inflation accelerated to 15.3 percent in April 2008, as a result of both demand pressures and rising world oil, and to a lesser extent, food prices.** In recent months food price inflation has started to accelerate, although it continues to be below nonfood inflation.

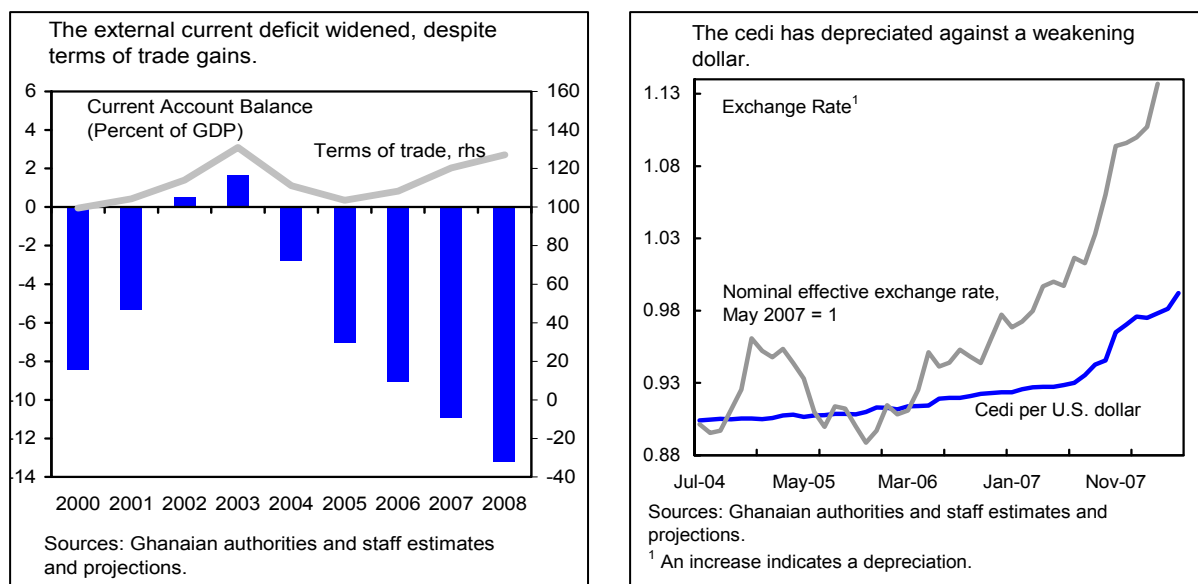
4. **In May 2007 the Bank of Ghana (BoG) announced formal inflation targeting (IT), which staff describe as “IT lite,” since exchange rate stability is an important intermediate objective.** Through September 2007, headline inflation stabilized at slightly above 10 percent while core inflation fell to within the inflation target band of 7–9 percent. However, since then both headline and core inflation have diverged from the target path. In response, the BoG has increased its policy rate by a cumulative 350 basis points since November 2007, but the policy rate has remained barely positive in real terms. Money growth remained strong, although the demand for money increased and velocity declined. Reserve money growth exceeded 30 percent for the second year, reflecting some increase in net international reserves, while broad money growth accelerated to about 43 percent, as the money multiplier increased due to the elimination of the secondary reserve requirement in 2006.



5. **Strong demand pressures have weakened Ghana’s external position, put pressure on the exchange rate, and reduced the international reserve coverage.** The trade balance continued to deteriorate as rapid growth of non-oil imports (investment goods and consumption durables) and an increase in the oil bill overshadowed good export performance related to large terms of trade gains (11 percent in 2007 alone) and a significant increase in gold export volumes. As a result, the current account deficit widened from 9 percent of GDP in 2006 to 11 percent in 2007. Strong capital inflows, including from Ghana’s first international bond issue of US\$750 million in September 2007 and partial liberalization of the capital account,¹ helped increase gross international reserves somewhat,

¹ See the accompanying Selected Issues Paper on capital account liberalization.

but reserve import coverage dipped to 2.6 months at the end of 2007 in the face of very rapid import growth. These trends continued through the first months of 2008, with international reserves declining and import coverage falling to a precarious level of about 2 months by April 2008. The cedi has depreciated by 7 percent against the dollar year on year ending mid-May 2008.



6. **Growth in credit to the private sector accelerated to about 60 percent both in 2007 and in the first quarter of 2008.** Part of this is financial deepening in the wake of financial sector reform; a reduction in the reserve requirement and buoyant demand conditions have also played roles, adding to cyclical pressures. Bank profitability has remained generally good; the average risk-weighted capital adequacy ratio (CAR) is at around 15 percent; and all banks conform with the statutory minimum CAR of 10 percent. But worrisome signs have also emerged in recent months. The nonperforming loan ratio and loan loss provisioning have increased and the default rate of households has risen (albeit the level is still low at 1½ percent). Banks' costs have risen due to higher wage costs and a rapid expansion of bank branches outside Accra. The BoG has raised the minimum bank capital requirement, stepped up on-site inspections, and is taking measures to make the regulatory framework more sensitive to risk, including introducing capital requirements for operational risk.

7. **Structural reforms have slowed in some key areas while progressing in others:**

- Public financial management reforms have advanced, but expenditure slippages in 2006–07 have exposed weaknesses in the system. Incomplete payroll automatization has allowed line ministries and decentralized agencies to do significantly more hiring than budgeted.

- Civil service reform has all but stalled. Plans to “right-size” the large civil service have not advanced. Following the passage of the Fair Wages and Salaries Act in 2007, the Fair Wages and Salaries Commission is not expected to make recommendations before 2009.
- In contrast, in other macrocritical areas, financial sector reforms continued, most notably with the introduction of a new National Payments System to expand the delivery of financial services, and debt management is being enhanced.² Fiscal decentralization is advancing cautiously, and the authorities are drafting a fiscal decentralization law aimed at improving public sector efficiency.
- The overall business environment has also continued to improve (Figure 1).

8. **Overall, risks to Ghana’s external stability have increased significantly over the past year as a result of loosening domestic policies and, to some extent, external price shocks.** Backward looking partial estimates of the equilibrium exchange rate still suggest that the exchange rate is close to equilibrium level, and other indicators, such as market share and cost competitiveness, do not suggest deterioration (Box 1). However, high twin fiscal and external deficits during a global downturn are clearly raising both vulnerabilities and prospects for an overvalued exchange rate.

9. **Ghana’s oil reserves, if confirmed, could be significant, placing it somewhere between Chad and Equatorial Guinea.** Major investments could start in 2009, and production in 2011, and government revenues could reach a cumulative US\$20 billion over the production period (2012–2030), or about 4–5 percent of GDP per year (Supplement, Appendix I).

II. DISCUSSIONS WITH THE AUTHORITIES

10. **Against this background, the discussions focused on the dual challenge of containing demand pressures and addressing Ghana’s development needs:**

- What is the right policy mix for Ghana to address domestic demand pressures? What fiscal measures are feasible on the short run?
- How can Ghana maintain macroeconomic stability while both allowing private sector growth and accommodating its large social and infrastructure needs?

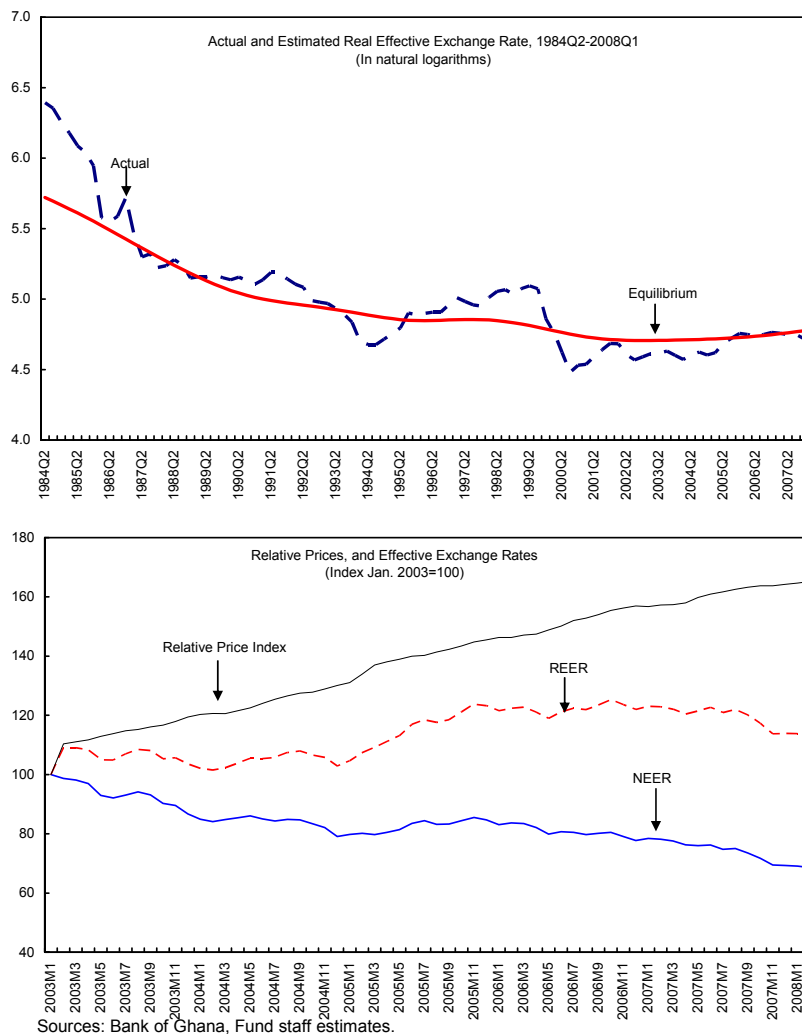
11. How should Ghana enhance its policies and institutional framework to prepare for its transition to an emerging economy and the possibility of an oil era?

² Following the guidance of Executive Directors during last year’s Article IV discussions, Ghana is one of the pilots of the Fund’s medium-term debt management strategy project.

Box 1. Ghana. Assessment of Ghana's REER

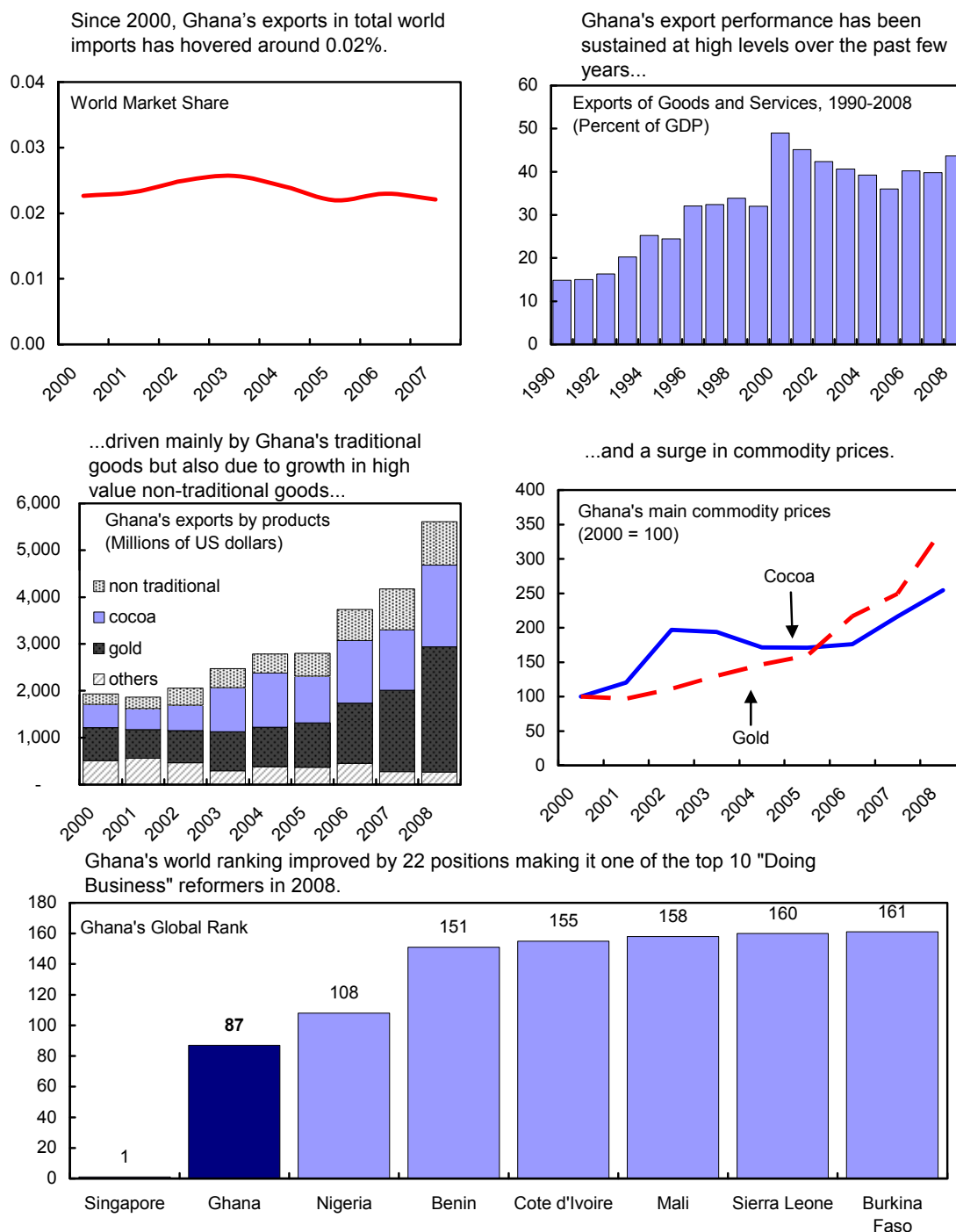
Ghana's real effective exchange rate (REER) seems to have reverted to its long-term equilibrium level consistent with macroeconomic fundamentals.¹ The behavioral equilibrium exchange rate (BEER) approach suggests that the REER is approaching its equilibrium.

- The econometric analysis of behavioral determinants of the equilibrium real effective exchange (BEER) is related to a set of critical factors: relative productivity; the terms of trade, and real interest rates differential vis-à-vis trading partners.
- The backward looking estimates still suggest that the exchange rate is close to its equilibrium level. However, data limitations and structural breaks complicate the analysis.
- Ghana's export performance has been strong not only in traditional commodities (gold, cocoa) but also in non traditional exports (Fig. 1), suggesting that the REER is not overvalued.
- Recently, however, high twin fiscal and external deficits in the context of a global downturn, high oil and food prices, and tightening global credit conditions are raising external vulnerabilities resulting in exchange rate volatility.



¹ The REER assessment update is based on Iossifov, Plamen, Loukoianova, Elena, "Estimation of a Behavioral Equilibrium Exchange Rate Model for Ghana," Working Paper No. 07/155

Figure 1. Ghana: External Competitiveness



Sources: IMF staff estimates, UN Comtrade; "Doing Business 2008, Ghana" World Bank.

A. Medium-term Outlook and Risks

12. Ghana's medium-term economic prospects depend critically on actions taken this year and next.

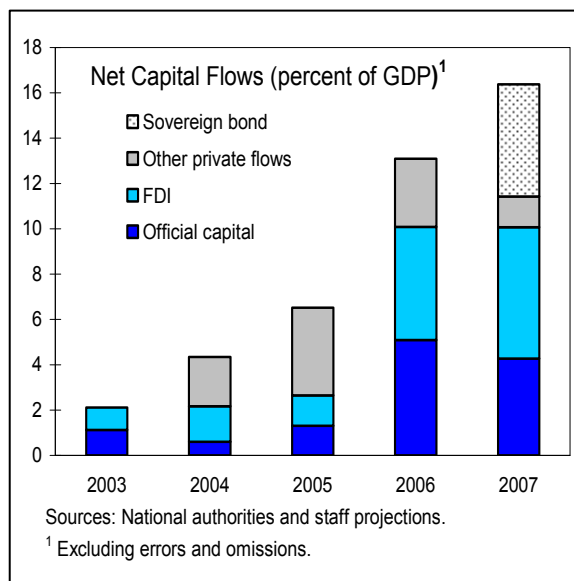
- The staff's baseline scenario assumes an implementation of the government's announced fiscal measures and further monetary tightening in 2008. While crucial, these would still leave the economy in a vulnerable position. If no further fiscal measures are introduced in 2008–09, the fiscal deficit would continue to remain in the neighborhood of 10 percent of GDP over the medium term, growth would slacken, and inflation, while moderating, would still remain well above the authorities' medium-term target of 5 percent. The current account deficit would remain well above 10 percent of GDP, with total public debt rising to 60 percent of GDP in 2010.
- An alternative scenario with additional fiscal adjustment in 2008–09 would lead to higher private sector-led growth and lower inflation over the medium term. This scenario would require that the fiscal deficit fall to around 7 percent of GDP by 2011; subsequently, further declines to about 5 percent would be needed to stabilize public debt at around 45–50 percent of GDP. Budget reforms, particularly eliminating generalized utility price subsidies and reducing the size of civil service, would make it possible to concentrate spending on priority development and infrastructure needs. The external position and debt sustainability would firm up, and risks of debt distress would decrease.

Selected Medium-Term Indicators, 2007–10 (Percent of GDP; unless indicated otherwise)				
	2007	2008	2009	2010
Real GDP (percent change)	6.3	6.5	5.8	5.8
Consumer price index (end of period, percent change)	12.7	13.8	10.5	8.0
Overall fiscal balance (including grants)	-9.1	-10.3	-10.7	-9.7
Total government debt	49.8	51.4	56.3	60.3
Domestic debt	26.1	26.6	29.6	31.4
External debt	23.7	24.8	26.7	28.9
Current account balance (including official transfers)	-10.9	-13.2	-12.6	-11.2

- ### 13. The downside risks to the staff's baseline scenario are significant, heightening the need for tighter policies in 2008–09.
- Risks include a pronounced worsening of the global environment, with a deterioration in Ghana's terms of trade (mainly due to oil prices), as well as a sudden stop or reversal in external financing flows, particularly portfolio investment. Although nonresidents' holding of domestic government debt amounts to only about 3 percent of GDP and there is a minimum holding period of one year, a sudden withdrawal of capital, or even just a stop in inflows, would pose some risks to budget financing and ultimately to international reserves (Box 2). Weather-related shocks (drought, flood) also can pose risks, which could be magnified by rising world food prices.

Box 2. How is Ghana's Widening Current Account Deficit Financed?

Ghana has largely financed a rapidly widening current account with official financing and foreign direct investment. These capital flows are less susceptible to market sentiment, creating less vulnerability than sovereign external bonds and other private capital like portfolio flows or bank borrowing. However, these forms of financing are also growing. In particular, portfolio inflows have been rising since the partial liberalization of capital inflows in late 2006. Non-residents are allowed to purchase domestic government securities but with restrictions—minimum maturities of three years and a minimum holding period of one year—designed to reduce vulnerability to a sudden reversals. Limitations on foreign equity purchases have also been lifted, but portfolio inflows are concentrated in government securities; foreigners currently hold 11 percent of government securities (equal to less than 3 percent of GDP).¹



¹ The data on private capital inflows probably understate gross inflows, and the authorities are working to address weaknesses, in cooperation with Fund staff.

B. Near-term Policies to Reduce Risks to Stability

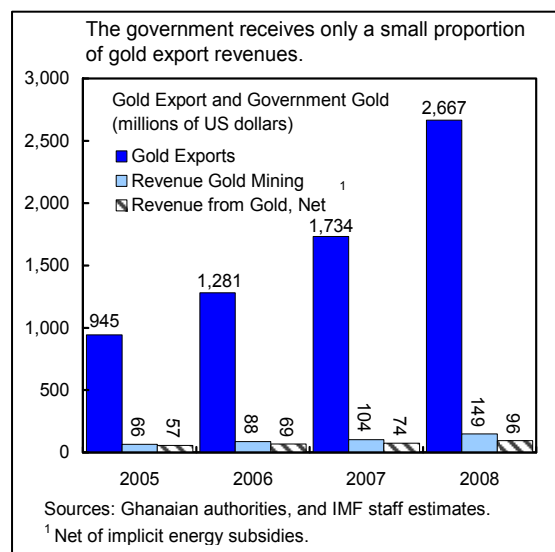
Fiscal policy

14. **The authorities and staff agreed that demand pressures had to be reduced primarily through fiscal adjustment.** To this end, the government announced in April three measures to limit the rise in the deficit:

- **Adjusting utility prices.** A price increase for commercial users to current cost-recovery levels starting in July is projected to reduce associated subsidies by about 1 percent of GDP in 2008 and 2 percent of GDP in 2009. The authorities also stated that cost recovery pricing might be extended to residential users next year, but this needs to be firmed up after the elections; this measure would reduce subsidies by another 2½ percent of GDP in 2009 and 2010 (not included in staff's current projections). Staff urged a return to an automatic price adjustment mechanism to maintain cost recovery pricing and depoliticize the price-setting process. To cushion the impact on poorer households, staff supported strengthening existing targeted utility subsidies. The authorities attributed high production costs and associated subsidies to exogenous shocks (low rainfall, high oil prices, and tight regional gas

supply) and considered that electricity production costs could fall in the coming years, making the achievement of full cost recovery easier over the medium term.

- Increasing the government's disappointingly low revenues from the gold sector.** The result of limited capacity for revenue monitoring and a tax regime that has historically favored gold companies to attract investment. The government has announced its intention to double the rate for the royalties tax in the gold sector; revenues could be also increased by enforcing current tax laws and eliminating administrative loopholes. Possible changes in the tax system would be discussed with investor partners.



- Temporarily freezing hiring in the public sector (beyond the automatic absorption of trainees in health and education) to keep the wage bill within the 2008 budget.** The freeze should last until civil service reforms regain momentum (possibly after the elections). The authorities and staff agreed that it will be also be crucial to keep public sector wage increases in 2008 in line with the budget.

15. **Staff agreed that these measures targeted the right areas, but noted that they would not be sufficient to limit the rise in the fiscal deficit from last year's already high level.** Staff projects that even with the planned measures, the fiscal deficit will rise to 10.3 percent of GDP in 2008; without additional measures in 2009, the deficit would further increase to 10.6 percent of GDP. The government therefore needs to prepare additional measures, such as postponing nonessential capital spending.

Monetary and exchange rate policy

16. **The Bank of Ghana noted that the policy interest rate increases since October 2007 were appropriately large; nevertheless, they were ready to raise rates further if needed.** In particular, they pointed out that core inflation had been within the BoG's target range until late 2007 and that they had raised rates when it picked up. Notwithstanding the recent significant policy rate increases, staff believes that monetary policy needs to be tightened further to contain demand pressures. The policy rate in real terms has been barely positive as inflation has accelerated. Staff's model simulations, which are broadly indicative, suggest the need to increase the policy rate further to steer inflation back toward the medium-

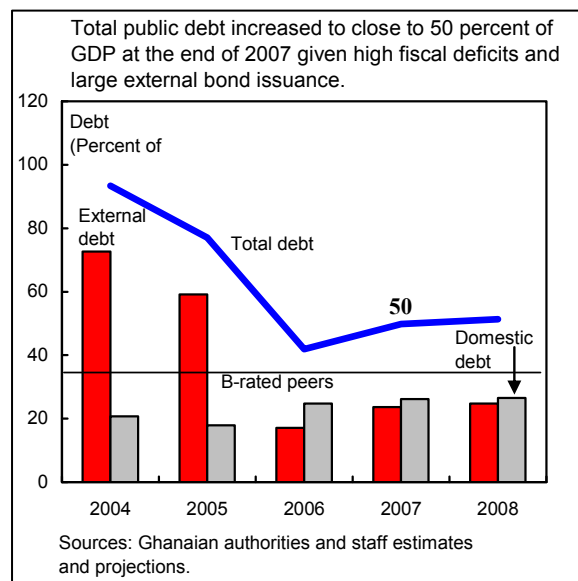
term target of 5 percent, particularly if fiscal policies are not tightened.³ That said, it is increasingly clear that monetary policy alone cannot fight inflation and its effectiveness is being undermined by expansionary fiscal policies.

17. **Ghana's exchange rate regime is a managed float, with a secondary objective on the exchange rate to support the inflation target.** The exchange rate has become more flexible in response to market pressures and as the foreign exchange market has gradually deepened. Indeed, the BoG's share in total foreign exchange transactions has fallen recently. Staff recommended accelerating this trend and decreasing the high foreign exchange surrender requirements for cocoa and gold and phasing out the BoG practice of supplying foreign exchange to oil importers. The authorities reiterated their long-held view that the exchange rate is flexible and fully market-determined, and that surrender requirements need to be maintained to manage lumpiness in foreign exchange receipts. Given rising current account risks and low reserve levels, there is also a need to increase international reserves gradually; the BoG may need to sterilize part of the resulting increase in liquidity that fuels reserve money growth.

Debt sustainability

18. **The joint Fund-Bank external debt sustainability analysis (DSA) found that risks to Ghana's external debt distress have increased, although they remain moderate (Box 3 and Supplement).** An analysis of public debt suggests that total debt would rise from 50 percent of GDP in 2007 to above 80 percent over the long term, even with the authorities' fiscal adjustment in 2008. This would be well above the authorities' debt ceiling of 60 percent of GDP announced in the 2008 budget—which staff considers too high for a low income country—or any “debt intolerance” level estimated by a number of emerging market studies (between 25–40 percent of GDP). Also, the median debt level in Ghana's rating category B is about 35 percent of GDP, which is equivalent to about 45 percent or so if account is taken of Ghana's still significant debt concessionality.

Staff considers that limiting total debt to about that level would be appropriate and consistent with a low income country DSA assessment of risks to external debt distress of moderate to low. Staff's analysis indicates that limiting Ghana's debt to GDP ratio to about that level



³ See a Selected Issues Paper on Inflation Forecast Targeting.

would require reducing the fiscal deficit to an annual average of about 5 percent of GDP in the long term.

Box 3. Joint Debt Sustainability Analysis (DSA) 2008

- **Ghana's risks of external debt distress remain moderate but have increased since the May 2007 DSA.** The baseline scenario incorporates the current macroeconomic framework with higher twin fiscal and current account deficits and information on new borrowing, including the government's US\$750 million Eurobond issue in September 2007.

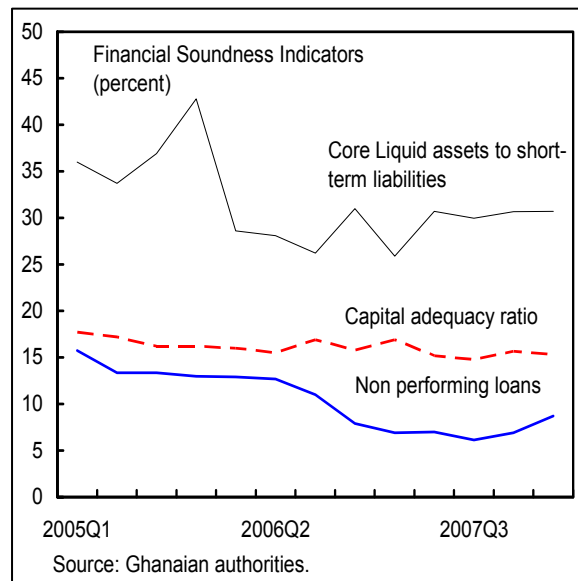
Ghana: Joint DSA 2008 and 2007							
Thresholds	Joint DSA 2007			Joint DSA 2008			
	2007	2015	2026	2007	2015	2026	
NPV of debt in percent of							
GDP	50	19	24	28	20	31	39
Exports	200	54	79	121	49	89	143
Revenue	300	...	...	...	87	122	152
Debt service in percent of							
Exports	25	4	8	13	5	7	21
Revenue	35	...	...	...	9	9	23

Source: Joint DSA - Supplement to the Staff Report.

- **Stress tests show that debt burden indicators breach the thresholds in four out of five bound standard stress tests.** Some relevant shocks that breach the thresholds include the impact of a one-time 30 percent depreciation, and contracting government debt on less favorable terms. In addition, a stress test that reduces drastically non-debt creating flows, including current transfers and FDI, increases the NPV of debt-to-GDP ratio close to or above the thresholds for the period 2012-2020.
- **Ghana's total public debt increases in the baseline scenario from about 50 percent of GDP in 2007 to 81 percent of GDP in 2028,** indicating clearly the risks to overall debt sustainability in the absence of additional fiscal adjustment in the short and medium term.
- **As part of an enhanced focus on overall debt sustainability, a comprehensive debt management strategy should be adopted that is consistent with macroeconomic and other policy objectives, and explicitly recognizes relative costs and risks.** The recommendations of a recent Fund-Bank Medium-Term Debt Strategy (MTDS) mission can be useful in this regard.

Financial sector stability

19. **The authorities and staff agreed that financial deepening was desirable given Ghana's low financial intermediation.** However, very rapid credit growth in the past years raises both demand management and regulatory concerns, as a recent worsening in some asset quality indicators imply. The authorities took comfort in the fact that most of the credit expansion was funded by increases in deposits. Joint stress tests by BoG and staff point to some asset concentration risks, but they do not indicate that interest rate increases would pose significant balance sheet risks for systemically important banks. The BoG noted steps taken to further strengthen supervisory capacity, such as increasing off-site supervision and moving towards the more risk-sensitive regulatory framework of Basel II, several elements of which—regulatory capital for operational risk and more extensive disclosure requirements—have already been adopted. Staff advised that continued rapid expansion necessitates prudential measures, such as stricter loan-to-value ratios and debt service limits. Also, it will be important to ensure that banks' collateral requirements and underwriting standards are not weakened in the context of the credit boom.



C. Anchoring Macroeconomic Policy to Sustain Growth

20. **Discussions also focused on designing a policy framework that can better anchor economic policy and manage both exogenous and policy-induced shocks.**

- **The first element of intended policy anchoring, IT, could benefit from further enhancements in communication and forecasting tools.** The adoption of a formal IT regime in May 2007 has enhanced the transparency of monetary policy; the next priority should be to improve operational transparency. To make market interest rates more responsive to inflationary pressures, the BoG could consider communicating ex ante how it is likely to respond to various supply and demand shocks. As some leading IT regimes have done, the BoG could consider publishing its inflation and interest rate forecasts. Further enhancements to the BoG's modeling and forecasting will also help policy-makers better anticipate trends and policy impacts; Fund staff is providing capacity building support in this area.

- **IT is now being complemented with a fiscal policy anchor.** The authorities are working, with support from the Fund, on a draft Fiscal Responsibility Law (FRL) to improve fiscal discipline and anchor fiscal expectations.
- **Other important structural reforms need to advance:** (i) public financial management improvements are crucial, as expenditure slippages in 2006–07 amply demonstrated. Particular attention is needed to control expenditure commitments; (ii) civil service reform needs to resume in earnest, with the medium-term goals of attracting high-quality labor and reducing total public sector employment, starting with subvented agencies; and (iii) fiscal decentralization can provide efficiency gains, but staff cautioned against allowing significant borrowing by local governments, based on experiences elsewhere of high associated fiscal risks.

21. **The recent major oil discovery, if confirmed, could materially improve Ghana's medium-term prospects and its timetable for reaching the MDGs, while posing new policy challenges.** The authorities and staff agreed that any temptation to start spending future oil revenue could exacerbate current demand pressures. Regarding preparations for the oil era, the authorities have commendably started a national dialogue on the use of future oil revenue, and they have been working on the technical details of an oil revenue and demand management plan, with support from Norway, other development partners, and the Fund. Staff noted that best practice measures for oil management include a well-functioning public financial management (PFM) system and demand management with a medium-term expenditure framework that recognizes absorptive capacity constraints. If oil is declared commercially viable, large capital inflows would take place to finance oil investment, but as much of it would fund imports, its impact on monetary and exchange rate policies would be limited. In contrast, large foreign exchange inflows following the start of oil production at a later stage around 2011 would pose challenges for demand management that will need to be addressed in an appropriate mix of fiscal and monetary-exchange rate policies.

D. Other issues

22. **Policy dialogue between the authorities and staff has remained active since Ghana's completion of its Poverty Reducing Growth Facility (PRGF) arrangement in October 2006.** Discussions on a Policy Support Instrument (PSI) started in the fall of 2007, but they have not advanced.

23. **An interim Economic Partnership Agreement (EPA) with the European Union (EU) signed in December 2007 is likely to have a smaller negative fiscal impact in the near term** (estimated at about 0.5 percent of GDP). The interim EPA allows for 100 percent trade liberalization of Ghanaian exports to the EU, with a transition period for rice and sugar, and the gradual liberalization of 80.5 percent of imports from the EU over 15 years. Some agricultural and processed goods are excluded from the interim EPA to protect Ghana's infant industries and preserve tax revenues.

24. **Macroeconomic data are broadly adequate for surveillance, but the quality and timeliness of the data need to be improved.** Specifically, for a country aspiring to emerging market status and accessing international capital markets, meeting SDDS standards for data production and dissemination should be a priority.

III. STAFF APPRAISAL

25. **Ghana's growth has remained strong, partly fueled by a dynamic private sector response to macroeconomic stability, structural reforms, and an increasingly business-friendly environment.** At the same time, there are still daunting development needs. The combination of strong private sector demand and the fiscal expansion of recent years has led to increasing macroeconomic imbalances, a weakening external position, low levels of international reserves, and a rebound in inflation. Rising risks could undermine Ghana's hard-earned achievements in macroeconomic stability and structural reforms since the early 2000s.

26. **In view of the near term risks, there is an urgent need to pull back from the expansionary fiscal policies of the past two years.** The authorities' announcement of a package of fiscal adjustment measures is a welcome start, but its implementation has been slow and more action is needed. The package appropriately focuses on cost recovery in utility pricing, freezing public sector employment, and taxation of the gold sector. Full and timely implementation is of the essence. To lower the deficit, cost recovery utility pricing should be extended to all users and an automatic utility price adjustment mechanism should be reinstated. At the same time, social safety nets should be provided with better targeted subsidies for poor households. Cuts in nonessential expenditures are also necessary in 2008-09. Without additional adjustment, staff forecasts continuing large fiscal deficits and an associated significant increase in total public debt over the medium term, with increasing risks to external stability and of an overvalued exchange rate.

27. **Fiscal policy should also make room for private sector growth.** Reducing the fiscal deficit gradually and limiting it to 5–6 percent of GDP over the long term would be consistent with the government's objective of private sector-led growth while still allowing it to undertake well-prioritized, growth-enhancing infrastructure projects. It would also help limit total public debt to below 50 percent of GDP, broadly commensurate with Ghana's rating peers (after adjustment for concessionality of debt) and in line with moderate-to-low external debt distress in the context of the low income country DSA framework.

28. **The ongoing monetary tightening is welcome and needs to continue.** The tightening could have started earlier, and further policy rate increases are needed to bring inflation toward its medium term target. It would be also advisable to contain money growth by sterilizing part of the much-needed foreign exchange reserve buildup. Nevertheless, monetary policy alone cannot fight inflation, and its effectiveness is increasingly being undermined by lax fiscal policies.

29. **The monetary policy framework has been enhanced by last year's introduction of an "inflation targeting lite" regime.** With progress in goal transparency, the priority now is to strengthen operational transparency. Enhancements to the BoG's communication strategy would help make the market more responsive to new information about inflationary pressures and enhance the credibility of the IT framework.

30. **Increased exchange rate flexibility will help Ghana to move toward a full-fledged IT regime and better respond to shocks.** The exchange rate regime is managed float. The BoG's role in the foreign exchange market that has influenced market conditions is shrinking as markets gradually develop; steps to phase out foreign exchange surrender requirements and BoG sales of foreign exchange to oil importers would usefully accelerate this process.

31. **Rapid credit growth to the private sector raises regulatory concerns even if part of the expansion reflects welcome financial deepening.** The recent worsening in bank asset quality is a warning sign. The increase in banks' minimum capital requirements and the introduction of a more risk sensitive regulatory framework, in the form of a simplified version of Basel II, are appropriate. Additional regulations to limit potential prudential risks, such as debt service limits, may also need to be introduced and scrutiny over banks' collateral requirements and underwriting standards should be stepped up. Credit growth will also be usefully moderated by the ongoing monetary tightening.

32. **A faster pace of macrocritical structural reforms would make it easier to address Ghana's challenges in its transition to an emerging market economy.** PFM and civil service reforms are particularly critical to make public spending more efficient and flexible.

33. **Oil prospects can materially improve Ghana's medium-term outlook for growth and poverty reduction if it avoids the "oil curse" of rent-seeking and boom-bust cycles.** Ghana's good track record on transparency bodes well for minimizing rent-seeking, and the Ghanaian authorities are to be commended for already having begun a nationwide consultation on the use of oil resources. Building up an effective oil management regime to avoid costly boom-bust cycles will also require good demand management—an area where Ghana's track record since 2006 has weakened.

34. **It is proposed that the next Article IV consultation will be held on the standard 12-month cycle.**

Table 1. Ghana: Selected Economic and Financial Indicators, 2005–09

	2005	2006	2007 Est.	2008 Proj.	2009 Proj.
(Annual percentage change; unless otherwise specified)					
National accounts and prices					
Real GDP	5.9	6.4	6.3	6.5	5.8
Real GDP per capita	3.2	3.7	3.6	3.8	3.2
GDP deflator	15.0	12.8	14.4	16.2	10.4
Consumer price index (annual average)	15.1	10.2	10.7	14.3	10.5
Consumer price index (end of period)	14.8	10.9	12.7	13.8	10.5
External sector					
Exports, f.o.b. (percentage change, in US\$)	0.7	33.3	11.7	34.4	5.6
Imports, f.o.b. (percentage change, in US\$)	24.4	26.3	19.4	28.2	7.9
Export volume	-0.9	15.4	-3.6	10.0	6.3
Import volume	14.2	14.4	14.6	10.8	5.6
Terms of trade	-6.8	4.7	11.1	5.6	-2.8
Nominal effective exchange rate (end of period)	7.1	-8.2	-10.8	...	...
Real effective exchange rate (end of period), (depreciation -)	19.8	-1.0	-2.9	...	...
Cedis (new) per U.S. dollar (end of period)	0.91	0.92	0.97	...	...
Money and credit					
Net domestic assets ¹	5.8	13.4	33.3	28.0	18.9
Credit to the private sector (year on year)	50.6	42.7	60.0	38.7	39.1
Broad money (excluding foreign currency deposits)	13.7	39.4	43.5	30.9	22.2
Velocity (GDP/average broad money)	4.3	3.5	3.0	2.8	2.7
Prime rate (Bank of Ghana; percent; end of period) ²	15.5	12.5	13.5	16.0	...
(Percent of GDP; unless otherwise specified)					
Investment and saving					
Gross investment	29.9	30.4	33.7	32.7	32.3
Private ³	17.9	18.0	19.5	18.7	18.5
Central government	12.0	12.4	14.2	14.0	13.8
Gross national saving	22.8	21.4	22.8	19.5	19.7
Private ³	12.0	13.5	15.1	14.8	15.1
Central government	10.8	7.8	7.7	4.7	4.6
Government operations					
Total revenue	23.8	21.9	22.5	23.0	23.6
Grants	5.2	5.4	6.0	4.9	3.9
Total expenditure	30.7	34.4	37.0	37.7	38.1
Overall balance (including grants)	-3.0	-7.5	-9.1	-10.3	-10.7
Net domestic financing	-1.7	5.0	1.3	5.5	6.9
Total government debt	77.1	41.9	49.8	51.4	56.3
Domestic debt	17.9	24.8	26.1	26.6	29.6
External debt	59.2	17.1	23.7	24.8	26.7
External sector					
Current account balance (including official transfers)	-7.0	-9.0	-10.9	-13.2	-12.6
Current account balance (excluding official transfers)	-12.4	-12.8	-15.1	-16.6	-16.3
NPV of external debt outstanding	19.9	17.8	19.6	19.6	21.0
percent of exports of goods and services	55.1	45.4	49.2	44.9	48.2
Gross international reserves (millions of US\$)	1,951	2,325	2,738	2,474	2,399
months of imports of goods and services	2.8	2.8	2.6	2.2	2.1
Total donor support (millions of US\$)	1,087	979	1,171	1,292	1,283
percent of GDP	10.1	7.7	7.7	7.4	6.8
Memorandum items:					
Nominal GDP (billions of GHc)	9.7	11.7	14.2	17.6	20.5

Sources: Data provided by Ghanaian authorities; and IMF staff estimates and projections.

¹ Percent of broad money at the beginning of the period.

² As of May 19, 2008

³ Including public enterprises and errors and omissions.

Table 2. Ghana: Balance of Payments, 2005–13

	2005	2006	2007	2008	2009	2010	2011	2012	2013
			Est.	Proj.	Proj.	Proj.	Proj.	Proj.	Proj.
(Millions of US dollars; unless otherwise specified)									
Balance on Current Account (including grants)	-755	-1,150	-1,652	-2,308	-2,375	-2,271	-2,181	-2,260	-2,407
Trade balance	-2,545	-3,017	-3,894	-4,730	-5,229	-5,341	-5,528	-5,923	-6,436
Exports f.o.b.	2,802	3,737	4,172	5,609	5,924	6,256	6,643	7,040	7,416
Cocoa	908	1,192	1,133	1,566	1,629	1,696	1,765	1,837	1,912
Gold	945	1,281	1,734	2,667	2,846	3,050	3,281	3,510	3,701
Other	949	1,264	1,306	1,376	1,448	1,511	1,596	1,693	1,803
Imports, f.o.b.	-5,347	-6,754	-8,066	-10,339	-11,153	-11,597	-12,171	-12,963	-13,852
Non-oil	-4,218	-5,108	-5,971	-7,106	-7,532	-7,841	-8,225	-8,760	-9,373
Oil	-1,129	-1,646	-2,095	-3,233	-3,621	-3,757	-3,946	-4,203	-4,479
Balance on services and income	-338	-256	-234	-320	-340	-360	-398	-438	-483
Of which: interest payments	-160	-110	-58	-163	-140	-166	-196	-229	-282
Balance on transfers	2,129	2,123	2,476	2,742	3,194	3,430	3,746	4,100	4,511
Private transfers (net)	1,550	1,645	1,834	2,145	2,490	2,643	2,874	3,160	3,488
Official transfers (net)	578	478	642	596	704	787	872	939	1,024
Capital and Financial Account	1,002	1,933	2,365	2,043	2,300	2,562	2,638	2,947	3,344
Capital account (net)	0	3,363	485	0	0	0	0	0	0
Of which: MDRI debt relief 1/	0	3,363	485	0	0	0	0	0	0
Financial Account (net)	309	-2,472	660	736	713	843	851	985	1,202
Medium and Long-term loans									
Inflows	500	501	1,279	821	784	909	934	1,130	1,380
Amortization	-191	-2,973	-619	-84	-71	-66	-83	-145	-178
Private capital	559	1,019	1,061	1,147	1,427	1,559	1,628	1,802	1,982
Short term capital	134	23	159	160	160	160	160	160	160
Errors and omissions	62	-246	-300	0	0	0	0	0	0
Overall balance	309	537	413	-265	-75	291	458	686	937
Financing	-309	-537	-413	265	75	-291	-458	-686	-937
Net international reserves (- increase)	-309	-537	-413	265	75	-291	-458	-686	-937
<i>Memorandum items:</i>									
Current account balance, excl. official transfers (millions of US\$)	-1,333	-1,628	-2,294	-2,904	-3,079	-3,058	-3,052	-3,200	-3,431
Current account balance, excl. official transfers (percent of GDP)	-12.4	-12.8	-15.1	-16.6	-16.3	-15.0	-13.8	-13.2	-12.8
Current account balance, incl. official transfers (percent of GDP)	-7.0	-9.0	-10.9	-13.2	-12.6	-11.2	-9.9	-9.3	-9.0
Trade balance (percent of GDP)	-23.7	-23.7	-25.7	-27.1	-27.7	-26.3	-25.0	-24.4	-24.0
Gross international reserves									
In millions of US dollars	1,951	2,325	2,738	2,474	2,399	2,690	3,148	3,834	4,771
In months of imports of goods and services	2.8	2.8	2.6	2.2	2.1	2.2	2.5	2.8	3.3
External debt (percent of GDP)	59.2	17.1	23.7	24.8	26.7	28.9	30.4	31.7	33.2
External debt service paid (in percent of exports of GNFS)	15.3	11.8	5.2	3.2	2.5	2.6	2.9	3.8	4.4
Total donor support (percent of GDP)	10.1	7.7	7.7	7.4	6.8	7.0	6.7	6.2	5.9
of which, official transfers (percent of GDP)	5.4	3.8	4.2	3.4	3.7	3.9	3.9	3.9	3.8

Sources: Bank of Ghana; and IMF staff estimates and projections.

¹ Including MDRI debt relief from the Fund and IDA in 2006, and the African Development Fund in 2007.

Table 3. Ghana: Summary of Central Government Budgetary Operations, 2005-09 ¹

	2005	2006	2007 Est.	2008		2009
				Proj.	Budget	Proj.
Total revenue and grants	29.1	27.4	28.6	27.9	28.3	27.6
Revenue	23.8	21.9	22.5	23.0	23.4	23.6
Tax revenue	20.6	19.9	19.9	19.3	19.5	19.8
Direct taxes	6.7	6.2	6.6	6.4	6.4	6.6
Indirect taxes	9.7	9.1	9.2	8.7	8.8	8.8
Trade taxes	4.2	4.6	4.1	4.3	4.3	4.3
Nontax revenue (and rev. measures)	3.2	2.0	2.6	3.7	3.9	3.8
of which 2008 rev. measures				1.7	1.9	1.7
Grants	5.2	5.4	6.0	4.9	4.9	3.9
Total expenditure	30.7	34.4	37.0	37.7	33.1	38.1
Recurrent expenditure	18.7	21.9	22.8	23.7	19.1	24.3
Recurrent Non-interest expenditure	15.1	18.6	19.7	20.8	16.4	21.8
Of which: wages and salaries	8.5	9.7	10.0	9.7	8.9	9.7
goods and services	3.2	3.7	4.0	4.0	3.0	3.7
energy, utility and related subsidies	0.8	2.6	1.6	3.9	1.5	5.2
Of which: Reserve Funds for oil purchases	...	0.8	1.4	3.6	1.4	4.8
Capital expenditure (total)	12.0	12.4	14.2	14.0	14.0	13.8
Of which: domestic	5.9	7.9	9.1	8.3	8.3	8.1
foreign	6.1	4.5	5.1	5.7	5.7	5.7
energy	...	0.3	2.4	2.1	2.1	...
Arrears clearance and VAT refunds	-1.3	-0.5	-0.7	-0.5	-0.5	-0.2
Overall balance	-3.0	-7.5	-9.1	-10.3	-5.3	-10.7
Discrepancy	-0.7	0.1	-0.3	0.0	0.0	0.0
Total financing	2.3	7.7	8.8	10.3	5.3	10.7
Divestiture receipts	0.2	0.0	0.8	0.9	1.6	0.3
Foreign (net)	2.5	1.9	6.1	3.5	2.7	3.1
Exceptional financing (debt relief, bilateral)	1.2	0.8	0.6	0.4	0.4	0.4
Domestic (net)	-1.7	5.0	1.3	5.5	0.5	6.9
Banking system	0.3	0.4	-2.3	2.7	...	3.4
of which Eurobond deposit	0.0	0.0	-3.8	0.0	...	0.0
Non-bank	-2.0	4.5	3.6	2.7	...	3.4
<i>Memorandum items:</i>						
Overall balance (with measures)	...	...	...	-9.0	...	-8.3
Total poverty spending	8.5	10.6	9.3	9.6	9.6	9.7
HIPC and MDRI spending	0.0	2.6	2.7	1.0	1.0	1.0
Tax exemptions		...	1.6	2.0	2.0	1.7
Primary balance	0.7	-4.2	-6.0	-7.4	-2.6	-8.2
Domestic primary balance ²	1.6	-5.1	-6.9	-6.5	-1.8	-6.5
Total government debt	77.1	41.9	49.8	51.4	46.4	56.3
Domestic debt	17.9	24.8	26.1	26.6	21.7	29.6
external debt	59.2	17.1	23.7	24.8	24.8	26.7
Nominal GDP (millions of GHc)	9,726	11,665	14,182	17,556	17,556	20,498

Sources: Ghanaian authorities; and IMF staff estimates and projections.

¹ Above-the-line data for domestic recurrent and capital expenditure are presented on a cash basis.

² Defined as total revenue plus VAT refunds (negative), less noninterest recurrent spending and domestic capital expenditure.

Table 4. Ghana: Monetary Survey, 2005–09
(Millions of Ghana cedis, end of period; unless otherwise specified)

	2005	2006	2007			2008	2009
		Prel.	Mar. Act.	June Act.	Dec. Est.	Dec. Proj.	Dec. Proj.
Net foreign assets	1,563	2,185	1,729	1,949	2,522	2,657	2,868
millions of US\$	1,716	2,364	1,866	2,099	2,600	2,550	2,535
Net domestic assets	1,484	2,045	2,553	2,576	3,246	4,870	6,307
Domestic credit	3,116	4,010	4,476	4,496	5,313	7,176	9,714
Claims on government (net)	1,326	1,488	1,661	1,418	1,163	1,642	2,336
Claims on non government	1,791	2,522	2,815	3,079	4,150	5,534	7,378
Other items, net (assets+)	-1,633	-1,965	-1,923	-1,921	-2,068	-2,514	-3,700
Broad money (M2+) ¹	3,047	4,230	4,282	4,525	5,767	7,526	9,175
Currency	803	1,020	877	862	1,318	1,669	2,034
Deposits ¹	2,244	3,211	3,406	3,662	4,449	5,858	7,140
Broad money (M2) ²	2,387	3,328	3,420	3,601	4,774	6,248	7,638
<i>Memorandum items:</i>							
Broad money (M2) (12-month change in percent)	13.7	39.4	39.0	33.7	43.5	30.9	22.2
Reserve money (RM) (12-month change in percent)	11.2	32.3	27.2	29.3	30.6	24.2	20.1
Broad money (M2+) (12-month change in percent)	14.3	38.8	35.9	32.8	36.3	30.5	21.9
Reserve money (RM+) ³ (12-month change in percent)	6.9	36.8	30.0	31.6	32.6	28.5	20.1
Velocity (GDP/average M2+)	3.4	2.8	3.3	3.1	2.5	2.3	2.2
Velocity (GDP/average M2)	4.3	3.5	4.1	3.9	3.0	2.8	2.7
Reserve money multiplier (M2/RM) (12-month change in percent)	2.4	2.5	2.9	2.9	2.7	2.8	2.8
Reserve money multiplier (M2+/RM) (12-month change in percent)	3.0	3.2	3.6	3.7	3.3	3.3	3.4
Reserve money multiplier (M2+/RM+) (12-month change in percent)	2.8	2.8	3.3	3.3	2.9	3.0	3.0
Bank reserves-to-deposits ratio ²	12.6	13.0	11.8	12.6	12.3	17.1	17.0
Foreign currency deposits to total deposits	29.4	28.1	25.3	25.2	22.3	21.8	21.5
Currency-to-deposits ratio ¹	35.8	31.8	25.7	23.6	29.6	28.5	28.5
Currency/M2+ ratio	26.3	24.1	20.5	19.1	22.9	22.2	22.2
Credit to the private sector ⁴ (12-month change in percent)	47.8	42.8	54.2	52.5	59.7	38.5	39.1
(Millions of US\$)							
Net international reserves ⁵	1,291	1,828	1,493	1,704	2,241	1,977	1,902

Sources: Ghanaian authorities; and IMF staff estimates and projections.

¹ Including foreign currency deposits.

² Excluding foreign currency deposits.

³ Including foreign currency reserves of deposit money banks with Bank of Ghana.

⁴ Credit from deposit money banks to the private sector.

⁵ Net international reserves are defined as short-term foreign assets of the BoG, minus short-term external liabilities.

Table 5. Ghana: Bank of Ghana and Deposit Money Banks, 2005–09
(Millions of Ghana cedis, end of period; unless otherwise specified)

	2005	2006 Prel.	2007			2008 Proj.	2009 Proj.
			Mar. Act.	June Act.	Dec. Est.		
Bank of Ghana							
Net foreign assets	1,300	1,892	1,568	1,775	2,459	2,201	2,305
millions of US\$	1,428	2,047	1,691	1,911	2,378	2,113	2,038
Net domestic assets	-286	-550	-384	-542	-708	49	397
Claims on government (net)	504	485	529	373	314	314	314
Claims on deposit money banks ¹	-755	-688	-719	-788	-715	-824	-881
Claims on rest of the economy	-3	-6	-7	-2	-3	-3	-3
Other items, net (assets +)	-32	-341	-187	-125	-304	563	967
Reserve money	1,014	1,341	1,184	1,233	1,751	2,251	2,703
Currency outside banks	803	1,020	877	862	1,318	1,669	2,034
Bank reserves	200	301	300	345	425	782	953
Cash	49	71	55	52	168	222	270
Deposits	151	229	244	293	256	560	682
Nonbank deposits	11	21	7	25	8	8	8
Deposit money banks							
Net foreign assets	264	293	161	174	62	456	563
millions of US\$	288	317	175	188	66	437	497
Reserves	200	301	300	345	425	782	953
Net claims on Bank of Ghana ¹	755	688	719	788	715	824	881
Domestic credit	2,615	3,532	3,954	4,126	5,002	6,865	9,403
Claims on government (net)	821	1,003	1,132	1,045	849	1,328	2,022
Claims on non government	1,794	2,529	2,822	3,081	4,154	5,537	7,381
Public enterprises	331	443	550	521	814	926	1,024
Private sector	1,445	2,064	2,252	2,540	3,296	4,566	6,352
Other items, net (assets +)	-1,601	-1,624	-1,735	-1,796	-1,764	-3,077	-4,667
Total deposits	2,233	3,190	3,398	3,638	4,441	5,850	7,132

Sources: Ghanaian authorities; and IMF staff estimates and projections.

¹ Includes holding of T-bills issued for monetary liquidity purposes, starting January 2003, and Bank of Ghana bills starting September 2004.

Table 6. Ghana: Selected Medium-Term Indicators, 2007–13

	2007 Est.	2008 Proj.	2009 Proj.	2010 Proj.	2011 Proj.	2012 Proj.	2013 Proj.
(Annual percentage change; unless otherwise specified)							
National accounts and prices							
Real GDP	6.3	6.5	5.8	5.8	6.0	6.8	6.8
Real GDP per capita	3.6	3.8	3.2	3.1	3.3	4.1	4.1
GDP deflator	14.4	16.2	10.4	9.4	8.0	6.5	5.9
Consumer price index (annual average)	10.7	14.3	10.5	9.1	6.9	5.5	5.0
Consumer price index (end of period)	12.7	13.8	10.5	8.0	6.0	5.0	5.0
External sector							
Exports, f.o.b. (percentage change, in US\$)	11.7	34.4	5.6	5.6	6.2	6.0	5.3
Imports, f.o.b. (percentage change, in US\$)	19.4	28.2	7.9	4.0	4.9	6.5	6.9
Export volume	-3.6	10.0	6.3	6.5	6.2	6.6	6.7
Import volume	14.6	10.8	5.6	4.6	5.1	6.3	6.7
Terms of trade	11.1	5.6	-2.8	-0.3	0.1	-0.7	-1.4
(Percent of GDP; unless otherwise specified)							
Investment and saving							
Gross investment	33.7	32.7	32.3	31.3	31.2	31.2	30.8
Private ¹	19.5	18.7	18.5	18.5	18.5	18.5	18.5
Central government	14.2	14.0	13.8	12.8	12.7	12.7	12.3
Gross national saving	22.8	19.5	19.7	20.1	21.3	21.9	21.8
Private ¹	15.1	14.8	15.1	15.7	16.5	16.9	16.8
Central government	7.7	4.7	4.6	4.4	4.9	5.0	5.0
Government operations							
Total revenue	22.5	23.0	23.6	24.0	24.7	25.2	25.5
Grants	6.0	4.9	3.9	4.1	4.1	4.0	3.9
Total expenditure	37.0	37.7	38.1	37.6	37.8	37.9	37.8
Overall balance (including grants)	-9.1	-10.3	-10.7	-9.7	-9.1	-9.0	-8.6
Net domestic financing	1.3	5.5	6.9	5.8	5.4	5.0	4.2
Total government debt	49.8	51.4	56.3	60.3	63.3	65.6	67.4
Domestic debt	26.1	26.6	29.6	31.4	32.8	33.9	34.1
External debt	23.7	24.8	26.7	28.9	30.4	31.7	33.2
External sector							
Current account balance (including official transfers)	-10.9	-13.2	-12.6	-11.2	-9.9	-9.3	-9.0
Current account balance (excluding official transfers)	-15.1	-16.6	-16.3	-15.0	-13.8	-13.2	-12.8
NPV of external debt outstanding	19.6	19.6	21.0	22.6	23.8	25.2	27.1
percent of exports of goods and services	49.2	44.9	48.2	52.5	56.6	62.7	70.9
Gross international reserves (end of period, millions of US\$)	2,738	2,474	2,399	2,690	3,148	3,834	4,771
months of imports of goods and services	2.6	2.2	2.1	2.2	2.5	2.8	3.3
Total donor support (millions of US\$)	1,171	1,486	1,500	1,584	1,598	1,695	1,799
percent of GDP	7.7	6.7	6.2	5.9	5.4	5.2	5.0

Sources: Data provided by Ghanaian authorities; and IMF staff estimates and projections.

Note: The medium-term macroeconomic framework does not include oil prospects due to insufficient data at this stage.

¹ Including public enterprises and errors and omissions.

Table 7. Ghana: Country Profile, Millennium Development Goals, 1990–2004

	1990	1995	2001	2003	2004	2005	2006	2015 Target	Status ¹
1. Eradicate extreme poverty and hunger.²									On track
Population below US\$1 a day (percent)	...	...	...	...	...	...	...	15.0	On track
Poverty gap at US\$1 a day (percent)	...	...	...	...	...	...	...	...	On track
Percentage share of income or consumption held by poorest 20 percent	...	...	...	...	...	...	...	...	...
Prevalence of child malnutrition (percent of children under 5)	...	...	...	22.1	...	...	...	...	Off track
Population below minimum level of dietary energy consumption (percent)	...	...	...	...	...	...	...	...	Off track
2. Achieve universal primary education.³									On track
Net primary enrollment ratio (percent of age group)	...	...	56.0	61.8	57.9	65.0	69.5	100.0	On track
Percentage of cohort reaching grade 5 (percent)	...	...	...	...	...	...	...	100.0	...
Youth literacy rate (percent of ages 15–24)	...	...	...	...	...	...	...	...	...
3. Promote gender equality.⁴									On track
Ratio of girls to boys in primary education (percent)	...	...	94.1	97.9	94.3	96.2	98.5	100.0	...
Ratio of girls to boys in primary and secondary education (percent)	...	...	90.9	93.7	90.6	92.6	93.9	100.0	On track
Ratio of young literate females to males (percent of ages 15–24)	...	...	...	...	...	...	...	100.0	On track
Share of women employed in the nonagricultural sector (percent)	56.5	...	...	...	...	...	...	...	...
Proportion of seats held by women in national parliament (percent)	...	...	...	9.0	9.0	10.9	10.9	...	...
4. Reduce child mortality.⁵									Off track
Under-5 mortality rate (per 1,000)	122.0	110.0	...	...	...	112.0	...	42.0	Off track
Infant mortality rate (per 1,000 live births)	75.0	67.0	...	...	...	68.0	...	...	Off track
Immunization, measles (percent of children under 12 months)	61.0	70.0	81.0	80.0	83.0	83.0	n.a.	...	...
5. Improve maternal health.⁶									Off track
Maternal mortality rate (modeled estimate, per 100,000 live births)	740.0	590.0	...	...	...	...	...	185.0	Off track
Births attended by skilled health staff (percent of total)	...	...	...	47.1	...	...	...	...	...
6. Combat HIV/AIDS, malaria, and other diseases.⁷									On track
Prevalence of HIV, female (percent ages 15–24)	...	...	...	2.2	...	2.3	...	...	On track
Contraceptive prevalence rate (percent of women ages 15–49)	...	...	...	25.2	...	...	...	...	...
Number of children orphaned by HIV/AIDS	...	...	140000.0	130000.0	...	170000.0	...	...	...
Incidence of tuberculosis (per 100,000 people)	223.0	216.8	209.6	207.3	206.1	205.0	...	...	...
Tuberculosis cases detected under DOTS (percent)	...	15.5	41.0	39.7	36.8	37.5	...	...	...
7. Ensure environmental sustainability.⁸									Off track
Forest area (percent of total land area)	32.7	...	...	...	...	24.2	...	...	...
Nationally protected areas (percent of total land area)	14.6	19.6	25.6	27.6	28.6	29.6	30.6	...	...
GDP per unit of energy use (PPP \$ per kg oil equivalent)	4.7	4.7	4.9	5.1	5.5	...	...	...	...
CO2 emissions (metric tons per capita)	0.2	0.3	0.3	0.4	...	...	...	...	...
Access to an improved water source (percent of population)	55.0	63.0	...	...	75.0	...	...	82.5	On track
Access to improved sanitation (percent of population)	15.0	16.0	...	...	18.0	...	...	...	...
Access to secure tenure (percent of population)	...	...	...	...	...	...	...	...	...
8. Develop a Global Partnership for Development.⁹									On track
Youth unemployment rate (percent of total labor force ages 15–24)	...	...	n.a.	n.a.	n.a.	n.a.	...	...	...
Fixed-line and mobile telephones (per 1,000 people)	2.9	3.9	24.0	51.2	92.7	143.1	...	...	...
Personal computers (per 1,000 people)	0.0	1.1	3.4	4.5	5.2	...	...	...	...

Sources: World Development Indicators, United Nations site for MDG indicators (<http://mdgs.un.org/unsd/mdg/Data.aspx?cr=293>); and IMF staff estimates and projections.

Note: In some cases the data are for earlier or later years than those stated.
National specification of individual indicators and targets may differ from

¹ As reported in the Ghana Poverty Reduction Strategy 2006 and the Annual Progress Report (2005).

² Targets: Halve, between 1990 and 2015, the proportion of people whose income is less than US\$1 a day; halve, between 1990 and 2015, the proportion of people who suffer from hunger.

³ Target: Ensure that, by 2015, children everywhere, boys and girls alike, will be able to complete a full course of primary schooling.

⁴ Target: Eliminate gender disparity in primary and secondary education, preferably by 2005, and to all levels of education, no later than 2015.

⁵ Target: Reduce by two-thirds, between 1990 and 2015, the under-5 mortality rate.

⁶ Target: Reduce by three-quarters, between 1990 and 2015, the maternal mortality ratio.

⁷ Target: Have halted by 2015, and begun to reverse, the spread of HIV/AIDS. Have halted by 2015, and begun to reverse, the incidence of malaria and other major diseases.

⁸ Target: Integrate the principles of sustainable development into country policies and programs and reverse the loss of environmental resources. Halve, by 2015, the proportion of people without sustainable access to safe drinking water. By 2020, achieve a significant improvement in the lives of at least 100 million slum dwellers.

⁹ Targets: Develop further an open, rule-based, predictable, nondiscriminatory trading and financial system. Address the special needs of the least developed countries. Address the special needs of landlocked countries and small island developing states. Deal comprehensively with the debt problems of developing countries through national and international measures in order to make debt sustainable in the long term. In cooperation with developing countries, develop and implement strategies for decent and productive work for youth. In cooperation with pharmaceutical companies, provide access to affordable, essential drugs in developing countries. In cooperation with the private sector, make available the benefits of new technologies, especially information and communication.

Table 8. Ghana: Financial Soundness Indicators, 2004-08
(Percent, end of period, unless otherwise specified)

	2004	2005	2006	2007	2008 Q1
Capital adequacy:					
Regulatory capital ratio	13.9	16.2	15.8	14.8	15.4
Regulatory tier 1 capital ratio	64.2	71.6	15.0	13.6	14.1
Asset quality:					
Nonperforming loans to total gross loans	16.3	13.0	7.9	6.4	8.7
Credit to total assets	44.0	48.7	45.0	50.3	51.6
Loan loss provision to total gross loans	13.8	8.5	7.4	5.5	5.9
Earnings and profitability:					
Return on assets, before taxes (average)	5.8	4.6	4.8	3.7	3.6
Return on equity, before taxes (average)	33.7	23.6	39.6	35.8	31.5
Interest margin to gross income	62.9	64.0	51.8	46.1	45.6
Interest spread ¹	20.25	19.25	18.31	18.33	...
Liquidity:					
Core liquid assets to total assets ratio	25.4	20.7	23.5	23.4	21.9
Broad liquid assets to total assets ratio	53.5	47.0	46.3	40.7	39.1
Core liquid assets to short-term liabilities ratio	34.6	42.8	31.4	31.0	29.2
Broad liquid assets to short-term liabilities ratio	72.8	97.4	61.9	54.1	52.0
Exposure to foreign exchange risk:					
Share of foreign currency deposits in total deposits	29.3	26.3	28.1	22.3	...
Share of foreign liabilities in total liabilities	2.8	2.4	4.0	8.1	7.5

Source: Bank of Ghana.

¹ Average lending rate minus average (saving and demand) deposit rate.

Table 9. Ghana: Indicators of External Vulnerability, 2005-2008

	2004	2005	2006	2007	2008 Proj.
Financial indicators					
Public sector debt (percent of GDP)	93.4	77.1	41.9	49.8	51.4
Broad money (percent change, 12-month basis) ¹	26.4	13.7	39.4	43.5	30.9
Private sector credit (percent change, 12-month basis)	21.0	50.6	42.7	60.0	38.7
Treasury bill rate (percent, end of period) ²	16.4	11.4	9.9	10.3	...
Prime rate (Bank of Ghana, percent, end of period) ²	19.1	15.5	12.5	13.5	...
External Indicators					
Exports of goods and services (percent change; US\$ value)	12.4	11.0	32.3	17.9	26.3
Imports of goods and services (percent change; US\$ value)	33.2	23.6	24.8	21.6	24.7
Terms of trade (percent change)	-15.1	-6.8	4.7	11.1	5.6
Current account balance (including official transfers, percent of GDP)	-2.8	-7.0	-9.0	-10.9	-13.2
Current account balance (excluding official transfers, percent of GDP)	-8.8	-12.4	-12.8	-15.1	-16.6
Gross official reserves (millions of US\$) ²	1,816	1,951	2,325	2,738	2,474
Short-term foreign liabilities of BOG (millions of US\$)	542	471	226	262	...
Exchange rate (per US dollar; period average)	0.900	0.907	0.917	0.935	...
Real effective exchange rate appreciation (end of period; percent)	-0.6	19.8	-1.0	-2.9	...
Financial market indicators					
Stock market \$ index (end of period) ³	60.0	39.6	43.5	52.8	61.3
Percent change	40.6	-33.9	9.7	21.6	15.9
Fitch foreign currency rating ⁴	B	B+	B+	B+	...
Standard and Poor's foreign currency rating ⁵	B+	B+	B+	B+	...

Sources: Datastream, Bank of Ghana; and IMF staff estimates.

¹ Excluding foreign currency deposits.

² For 2008, as of end-May.

³ For 2008, as of June 6th.

⁴ Positive outlook, reduced to "stable" in February 2008.

⁵ Stable outlook, since 2003.



INTERNATIONAL MONETARY FUND

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IMF Executive Board Concludes 2008 Article IV Consultation with Ghana

On [June 30], 2008, the Executive Board of the International Monetary Fund (IMF) concluded the Article IV consultation with Ghana.¹

Background

The Ghanaian economy maintained strong growth of about 6½ percent in 2007 and the first months of 2008. The private sector has responded positively to macroeconomic stability, structural reforms, and an increasingly business-friendly environment. But fiscal spending also increased, leading to excess demand. Supply-side shocks, especially from international fuel prices, have impacted Ghana negatively, although overall, Ghana's terms of trade continued to improve. As a result, fiscal and external account deficits have widened, and inflation has risen.

Recent economic growth in Ghana has been broad-based, and agricultural production has remained good, although floods in the northern region of the country caused some localized food shortages and sharp price increases. The fiscal deficit (including grants) continued to rise to 9 percent in 2007, reflecting both investments of about 2½ percent of GDP to address energy bottlenecks and policy slippages with regards to utility pricing and the wage bill. Due to delays in passing on the increase in oil prices to utility consumers, and despite the eventual and significant price increases, utility prices have remained well below cost recovery levels, giving rise to large budget subsidies. The wage bill was higher-than-budgeted because of hiring outside the centralized budget process and higher than budgeted wage growth. Revenue performance continued to be

¹ Under Article IV of the IMF's Articles of Agreement, the IMF holds bilateral discussions with members, usually every year. A staff team visits the country, collects economic and financial information, and discusses with officials the country's economic developments and policies. On return to headquarters, the staff prepares a report, which forms the basis for discussion by the Executive Board. At the conclusion of the discussion, the Managing Director, as Chairman of the Board, summarizes the views of Executive Directors, and this summary is transmitted to the country's authorities.

robust, except for the gold sector. The fiscal deficit was financed by both domestic and external borrowing, including Ghana's first external sovereign bond issue and purchases of local currency denominated debt by non-residents. As a result, total public debt reached 50 percent of GDP at the end of 2007, up eight percentage points of GDP from the end of 2006.

Headline inflation reached 16.9 percent at the end of May 2008, driven by domestic demand pressures and rising world oil and, to lesser extent, food prices. Inflation had remained stable around 10 percent from early 2006 to October 2007. Since then, both headline and core (excluding energy and utilities) inflation have been rising sharply, despite increases in the Bank of Ghana's policy rate. These pressures also pushed Ghana's current account deficit (including grants) to 11 percent of GDP in 2007, as continued export growth and terms of trade improvements were more than offset by rapidly rising imports. Nevertheless, strong capital inflows enabled Ghana to increase the level of international reserves, but the import coverage fell to 2.6 months of imports due to rapid import growth. The Cedi depreciated vis-à-vis the U.S. dollar by 7 percent from May 2007 to May 2008.

Structural reforms have advanced in many areas but slowed in others. Financial sector reforms have continued, the debt management system is being upgraded to include a medium-term debt management strategy, and advances are being made in fiscal decentralization. Public Financial Management (PFM) reforms have also continued, but expenditure slippages in 2006 and 2007 have exposed remaining weaknesses. On the other hand, civil service reforms have slowed down.

Executive Board Assessment

Table 1. Ghana: Selected Economic and Financial Indicators, 2005–09

	2005	2006	2007 Est.	2008 Proj.	2009 Proj.
(Annual percentage change; unless otherwise specified)					
National accounts and prices					
Real GDP	5.9	6.4	6.3	6.5	5.8
Real GDP per capita	3.2	3.7	3.6	3.8	3.2
GDP deflator	15.0	12.8	14.4	16.2	10.4
Consumer price index (annual average)	15.1	10.2	10.7	14.3	10.5
Consumer price index (end of period)	14.8	10.9	12.7	13.8	10.5
External sector					
Exports, f.o.b. (percentage change, in US\$)	0.7	33.3	11.7	34.4	5.6
Imports, f.o.b. (percentage change, in US\$)	24.4	26.3	19.4	28.2	7.9
Export volume	-0.9	15.4	-3.6	10.0	6.3
Import volume	14.2	14.4	14.6	10.8	5.6
Terms of trade	-6.8	4.7	11.1	5.6	-2.8
Nominal effective exchange rate (end of period)	7.1	-8.2	-10.8	...	...
Real effective exchange rate (end of period), (depreciation -)	19.8	-1.0	-2.9	...	...
Cedis (new) per U.S. dollar (end of period)	0.91	0.92	0.97	...	...
Money and credit					
Net domestic assets ¹	5.8	13.4	33.3	28.0	18.9
Credit to the private sector (y-o-y)	50.6	42.7	60.0	38.7	39.1
Broad money (excluding foreign currency deposits)	13.7	39.4	43.5	30.9	22.2
Velocity (GDP/average broad money)	4.3	3.5	3.0	2.8	2.7
Prime rate (Bank of Ghana; percent; end of period) ³	15.5	12.5	13.5	16.0	...
(Percent of GDP; unless otherwise specified)					
Investment and saving					
Gross investment	29.9	30.4	33.7	32.7	32.3
Private ²	17.9	18.0	19.5	18.7	18.5
Central government	12.0	12.4	14.2	14.0	13.8
Gross national saving	22.8	21.4	22.8	19.5	19.7
Private ²	12.0	13.5	15.1	14.8	15.1
Central government	10.8	7.8	7.7	4.7	4.6
Government operations					
Total revenue	23.8	21.9	22.5	23.0	23.6
Grants	5.2	5.4	6.0	4.9	3.9
Total expenditure	30.7	34.4	37.0	37.7	38.1
Overall balance (including grants)	-3.0	-7.5	-9.1	-10.3	-10.7
Net domestic financing	-1.7	5.0	1.3	5.5	6.9
Total government debt	77.1	41.9	49.8	51.4	56.3
Domestic debt	17.9	24.8	26.1	26.6	29.6
External debt	59.2	17.1	23.7	24.8	26.7
External sector					
Current account balance (including official transfers)	-7.0	-9.0	-10.9	-13.2	-12.6
Current account balance (excluding official transfers)	-12.4	-12.8	-15.1	-16.6	-16.3
NPV of external debt outstanding	19.9	17.8	19.6	19.6	21.0
percent of exports of goods and services	55.1	45.4	49.2	44.9	48.2
Gross international reserves (millions of US\$)	1,951	2,325	2,738	2,474	2,399
months of imports of goods and services	2.8	2.8	2.6	2.2	2.1
Total donor support (millions of US\$)	1,087	979	1,171	1,292	1,283
percent of GDP	10.1	7.7	7.7	7.4	6.8
Memorandum items:					
Nominal GDP (billions of new cedis)	9.7	11.7	14.2	17.6	20.5

Sources: Data provided by Ghanaian authorities, and IMF staff estimates and projections.

¹ Percent of broad money at the beginning of the period.

² Including public enterprises and errors and omissions.

³As of May 19, 2008